OWENS CORNING OC

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by JohnKimble

			2026	2027
Price:	136.37	EPS	9.41	11.56
Shares Out. (in M):	81	P/E	14.5x	11.8
Market Cap (in $M):	11,046	P/FCF	17.4x	17.8
Net Debt (in $M):	5,751	EBIT	1,269	1,470
TEV (in $M):	16,797	TEV/EBIT	13.1	11.3

Description

Owens Corning is a manufacturer of roofing (43% of sales), insulation (36%) and doors (21%) with almost 90% of sales in North America and 80% of those serving residential. I believe Owens Cornings is cheap because of its exposure to residential housing and because there is some chance OC will be taken out by a competitor. Recently, the commercial roofing company Carlisle was rumored to make an unsolicited offer for OC, and the stock popped from the $120s to above $158. The stock sits at $136.37 today.

There are many flavors of housing related bets, and I think people get a bit too preoccupied with distinguishing between new resi, R&R, maintenance, etc. The reality is that many "maintenance" items can be deferred, and people tend to remodel, landscape, repair a roof, replace HVAC, etc. when they move. Therefore, OC's exposure to rates is higher than the table implies.

Segment	**Revenue $mm**	**Resi new**	**Resi replacement / R&R**	**Non-resi**	**International**
Roofing	4,437	~16%	~77–80%	4–7%	n.m.
Insulation	3,700	~27%	~13%	38%	22%
Doors	1,963	~45%	~55%	n/d	n/d
Enterprise	10,103	23%	51%	26%	12%

History

I'd like to give a brief history of OC because I think part of the reason it's cheap is that the business is better today than people's perceptions of it.

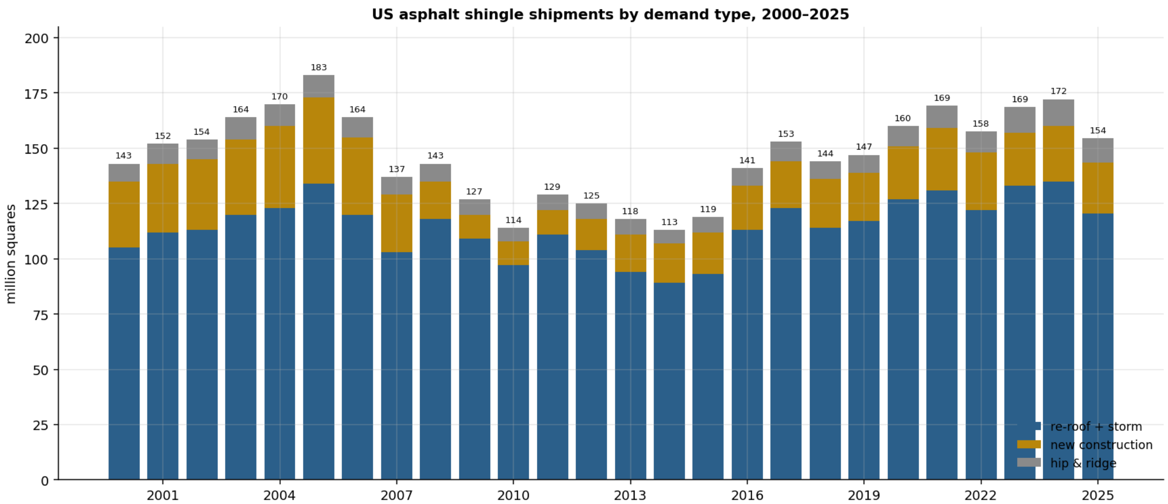
Owens Corning has been around since 1938 when it got its start as a glass fiber company. Glass fiber was the techical core of insulation, roofing mats and composites applications (boat hulls, auto bodies).

OC's distribution of (and later acquisition of) Owens-Illinois asbestos pipe insulation in the 50s-70s led to litigation starting in the late 70s and a bankruptcy filing in 2000. It emerged after six years freed from those liabilities and in the middle of a housing boom.

Roofing has consolidated significantly. In the 70s, sixteen producers made 90% of the industry's shingles. In the 90s, ten did. Elk (a pure play before GAF bought it) had 10% operating margins in the early aughts and GAF had about that as well. Then Elk was acquired by GAF for about 10x EBITDA and a huge premium after a bidding war with Carlyle Group (not Carlisle Company, the commercial roofer lol). Post that merger, GAF/Elk had 42% share, CertainTeed (Saint-Gobain) had 22%, and Owens Corning had 20%. Today's market shares are almost identical, with OC at 22%, CertainTeed at 22% and GAF at 40%.

Roofing

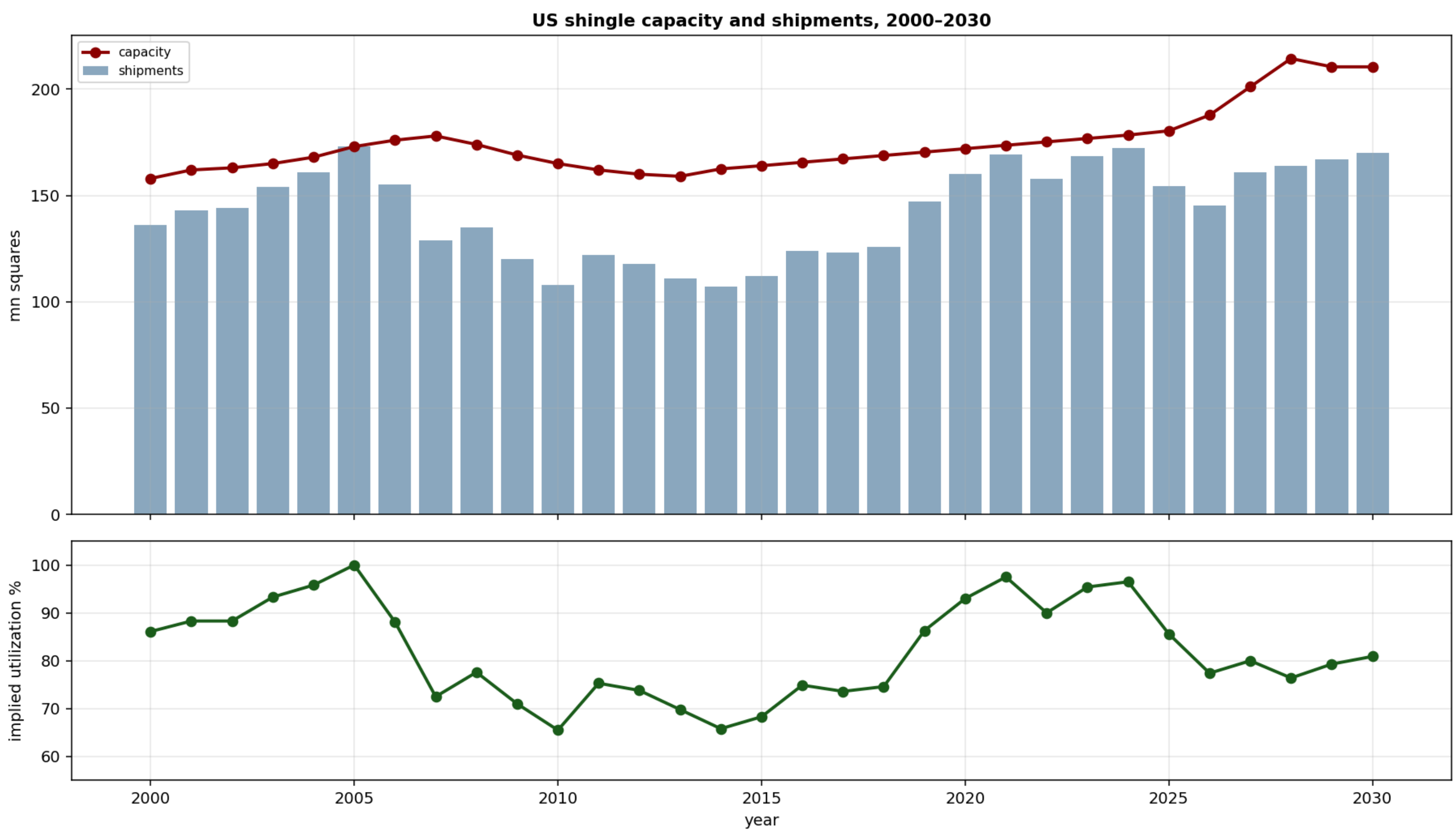
More than 80% of demand for asphalt shingles (asphalt shingles are 80% of the housing stock) is driven by re-roofing and storm demand. The market, which has averaged about 160mm squares (a square=100sqft) is roughly the same size as pre-GFC and a 1SD move in demand is about 8% (GFC saw demand down 10% in 2006 and another 17% in 2007). In 2025, fewer new homes and a light storm year brough demand down 10%.

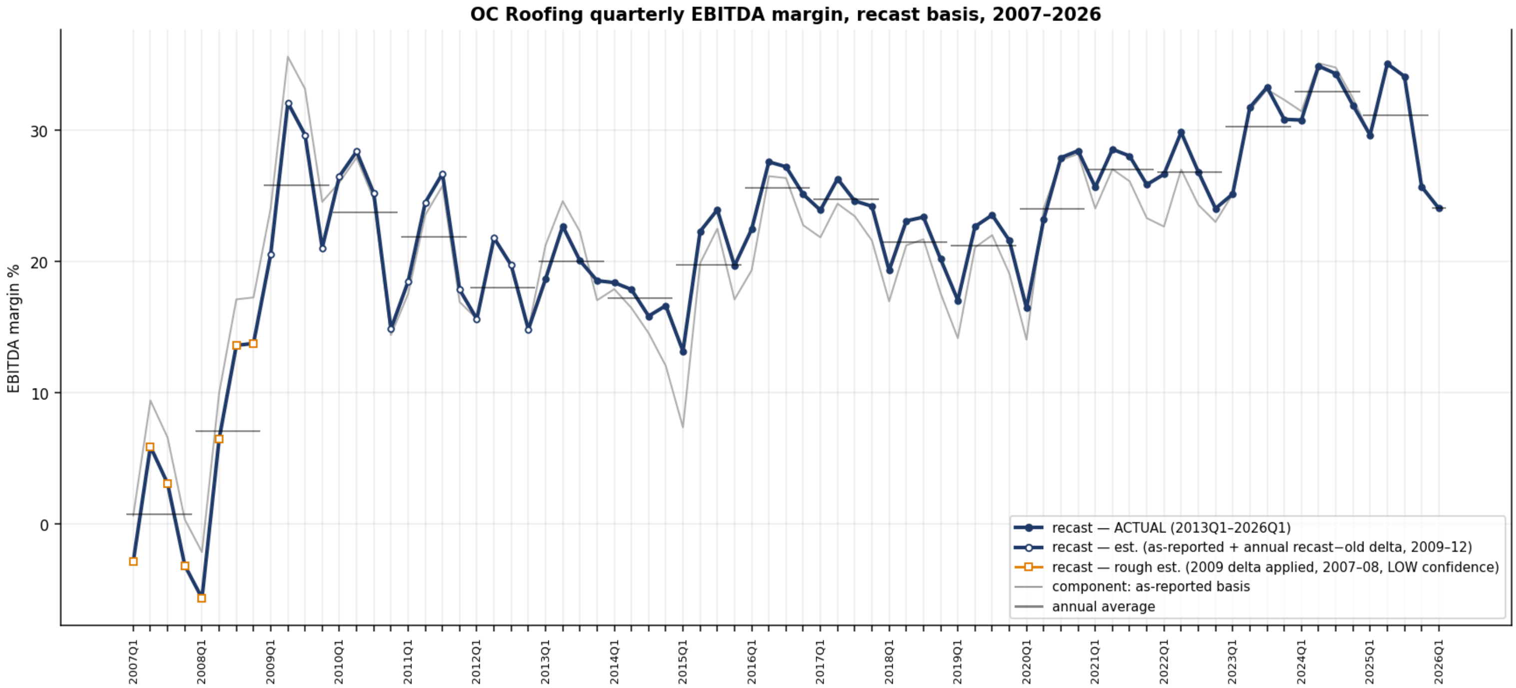


Asphalt Shingle Market

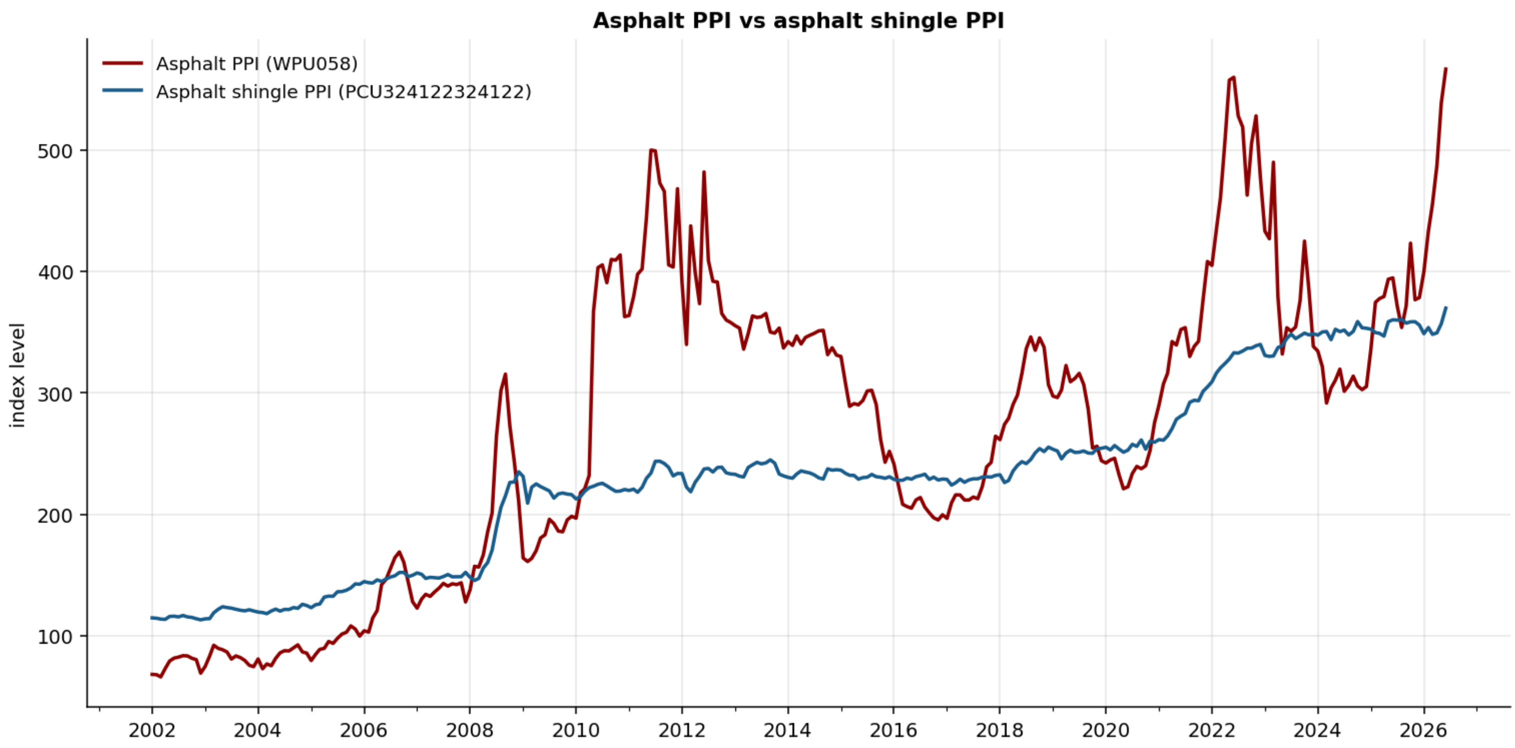
There is a recent concern that potential capacity additions will spoil margins in roofing. If you take all the projects at stated values, capacity could ramp from 180mm squares today to 210mm squares by 2030. I actually model that ramp fully in my projections even though in the past new capacity was often paired with shutdowns of older facilities, and we have examples of planned facilities being canceled (in 2014, which was the worst period for shingles given the minor price war, GAF had announced a new facility that was supposed to be the biggest capacity addition in a decade, but they never went ahead with it and didn't add any capacity for another decade).

Roofing is more of a conversion business than a high fixed cost business (like insulation) but nontheless its helpful to look at past episodes of low utilization to understand the business better. In 2008, as housing was collapsing, oil prices ran to ~$150 and asphalt costs rose 60%. OC and others responded with almost 30% price increases and held on to a lot of it even as demand for squares fell in 2009 and 2010. The worst episode you could point to was that in 2012-2014 margin slowly eroded as you got to 65% utilization and competitors had rare price cuts. Either way, margins quickly recovered over the next couple years.





Its fair to say that pricing for shingles is basically a ratchet, where periods of cost inflation are passed through by pricing and largely held. We can see that comparing the asphalt PPI to the asphalt shingle PPI.



]This is why I think margins at close to recent levels are here to stay. Prior troughs were like those seen by ELK in 2001 where EBITDA margins were 10%. Peaks like in 2005 (record storms, strong new resi) saw 17% EBITDA margins. Then GFC times (after the Elk deal) saw peak margins of 25.8% (in '09!) and trough margins when pricing was weakest in 2014 of about 17%. The 2024 peak was 33%. I see forward utilization close to 80% even with the capacity adds, so I feel comfortable projecting roofing margins of around 30% over the next few years.

Insulation

Over the last decade+, OC has diversified away from US residential batts and rolls insulation (the most commoditized type) and into mineral wool, cellular glass, European stone wool, and spray foam insulation.

Product or region	FY2025 revenue $mm	Share

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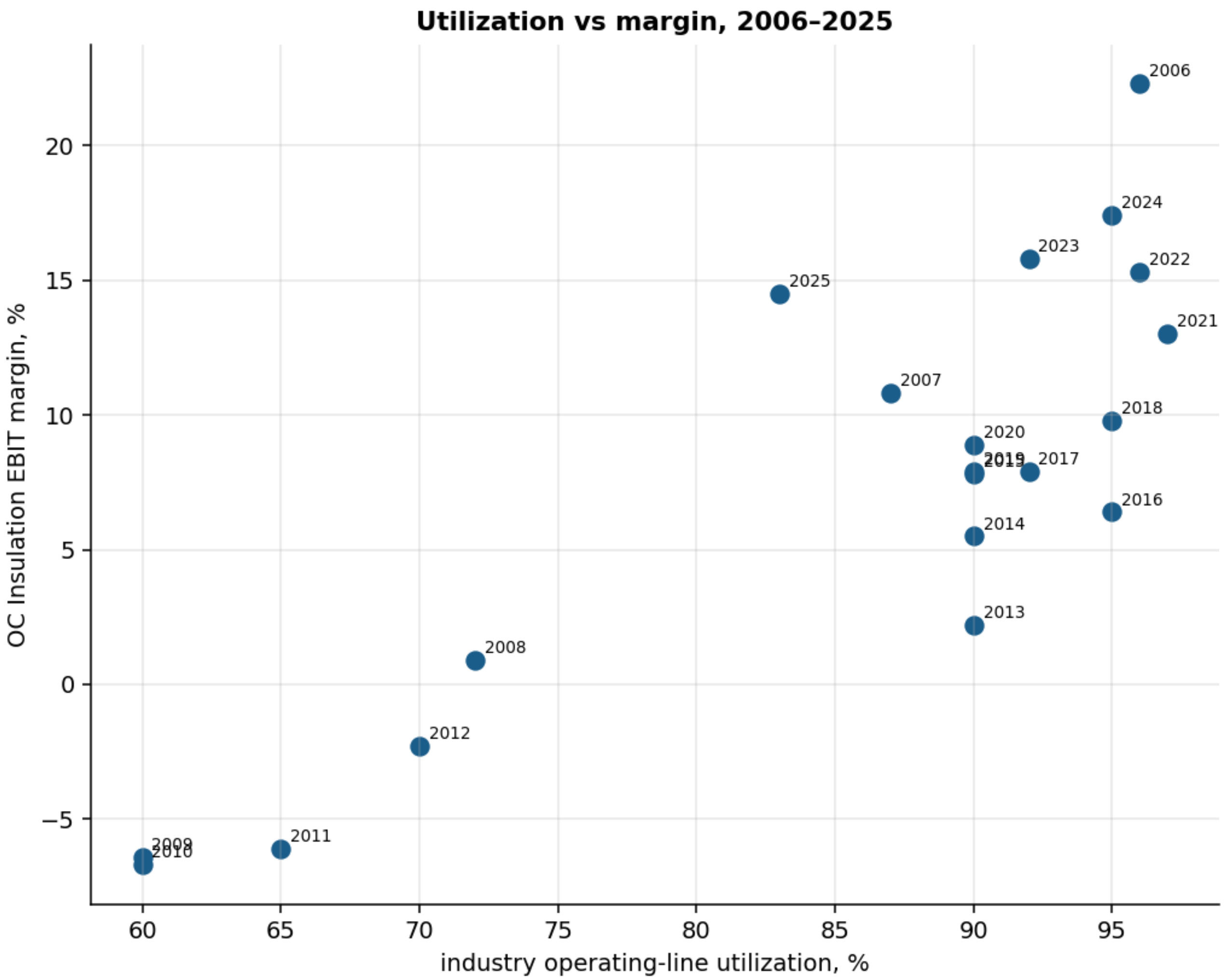
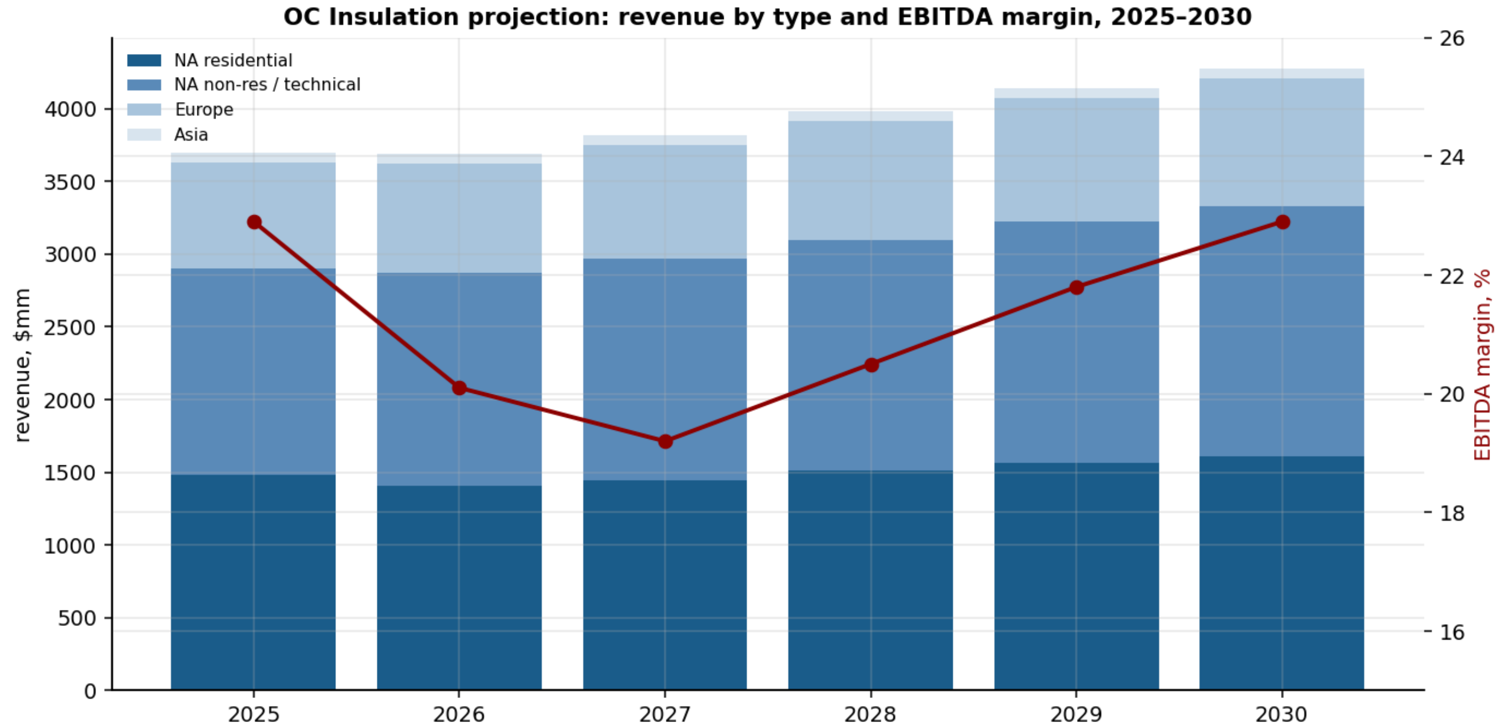
Residential batts and rolls	1,038	28%
Residential loose-fill	445	12%
N. America non-residential/tech.	1,420	38%
Europe	728	20%
Asia / rest of world	69	2%
Total Insulation	3,700	100%

Insulation capacity is hard to ramp and shut off, so utilization matters a lot more. One thing to notice from the graph below though is that in recent years, for a given level of utilization, margins are higher. I attribute that to both a better mix as well as more rational competition.



Either way, new insulation capacity should be absorbed well by the market, and my margin projections reflect it.



Doors

I don't devote much time to this small segment, although the acquisition of Masonite raises questions about management's capital allocation. But management has been more committed to buybacks in recent years.

Valuation

I'll start with a SOTP because the rumored interest from Carlisle makes it relevant. Roofing acquisitions including Elk and more recently Henry Company, Firestone/Elevante, Malarkey, and Duro-Last went for 10-13x EBITDA. Sales weighted its about 12.3x. If I use 11.5x on 2026E Roofing (67% of the value) and 8x on Insulation and Doors I get to $174/share (vs. $136.37 today, so a 78c dollar). My DCF yields $165. We're trading at close to long run average multiples but on lower than average earnings. I think both insulation and roofing are better businesses today than they were a decade ago (better mix for insulation, higher highs and higher lows for both, more consolidated for both). And of course we have potential optionality from Carlisle's interest (and Amrize and Kingspan could also be interested. Kingspan tried to buy Carlisle in 2023).

	FY2018A	FY2019A	FY2020A	FY2021A	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
P&L													
Sales	7,057	7,160	7,055	8,498	9,761	9,677	10,975	10,103	9,600	10,217	10,479	10,843	11,206
y/y	*10.5%*	*1.5%*	*(1.5%)*	*20.5%*	*14.9%*	*(0.9%)*	*13.4%*	*(7.9%)*	*(5.0%)*	*6.4%*	*2.6%*	*3.5%*	*3.4%*
Adj. EBITDA	1,284	1,276	1,351	1,904	2,267	2,313	2,702	2,268	1,934	2,145	2,223	2,404	2,570
%	*18.2%*	*17.8%*	*19.1%*	*22.4%*	*23.2%*	*23.9%*	*24.6%*	*22.4%*	*20.1%*	*21.0%*	*21.2%*	*22.2%*	*22.9%*
Adj. EBIT	734	704	790	1,227	1,515	1,667	1,903	1,574	1,269	1,470	1,538	1,714	1,875
Adj. Net Income	550	500	566	969	1,258	1,312	1,397	1,012	765	916	966	1,085	1,191
Adj. EPS	$4.94	$4.54	$5.21	$9.29	$12.88	$14.42	$15.91	$12.05	$9.41	$11.56	$12.57	$14.98	$17.55
Diluted shares	*111.4*	*110.1*	*108.6*	*104.3*	*97.7*	*91.0*	*87.8*	*84.0*	*81.3*	*79.2*	*76.9*	*72.4*	*67.9*
EBITDA BY SEGMENT													
Roofing	657	683	790	1,045	1,185	1,417	1,532	1,411	1,244	1,431	1,397	1,472	1,541
Insulation	529	478	494	726	908	884	945	848	734	726	809	893	973
Doors							232	232	190	228	262	289	311
Corporate & other	97	116	66	133	175	11	(7)	(223)	(235)	(240)	(245)	(250)	(255)
Adj. EBITDA	**1,284**	**1,276**	**1,351**	**1,904**	**2,267**	**2,313**	**2,702**	**2,268**	**1,934**	**2,145**	**2,223**	**2,404**	**2,570**
Roofing EBITDA margin	*21.6%*	*21.4%*	*24.5%*	*27.2%*	*27.0%*	*30.5%*	*33.1%*	*31.8%*	*29.5%*	*30.8%*	*30.0%*	*30.7%*	*31.1%*
Insulation EBITDA margin	*18.0%*	*16.5%*	*17.5%*	*21.1%*	*22.7%*	*22.6%*	*24.1%*	*22.9%*	*20.1%*	*19.2%*	*20.5%*	*21.8%*	*22.9%*
Doors EBITDA margin							*16.0%*	*10.9%*	*10.1%*	*11.7%*	*12.9%*	*13.7%*	*14.3%*
FCF													
Adj. EBITDA	**1,284**	**1,276**	**1,351**	**1,904**	**2,267**	**2,313**	**2,702**	**2,268**	**1,934**	**2,145**	**2,223**	**2,404**	**2,570**
Cash Interest	(158)	(131)	(135)	(133)	(123)	(135)	(226)	(271)	(242)	(241)	(241)	(258)	(277)
Cash Taxes	(91)	(58)	(78)	(244)	(319)	(428)	(423)	(264)	(262)	(313)	(331)	(371)	(408)
Δ Working Capital	(259)	33	94	(18)	(19)	(33)	47	(23)	56	(71)	(30)	(42)	(42)
Other	27	(83)	(97)	(6)	(46)	2	(208)	76	(90)	(90)	(90)	(90)	(90)
Cash From Ops	**803**	**1,037**	**1,135**	**1,503**	**1,760**	**1,719**	**1,892**	**1,786**	**1,396**	**1,430**	**1,531**	**1,643**	**1,754**
Capex	(537)	(447)	(307)	(416)	(446)	(526)	(647)	(824)	(768)	(817)	(838)	(867)	(897)
Free Cash Flow	**266**	**590**	**828**	**1,087**	**1,314**	**1,193**	**1,245**	**962**	**628**	**612**	**693**	**776**	**858**

CURRENT CAPITALIZATION	
Shares (mm)	81.0
Price ($)	$136.37
Market Cap	11,046
Cash	272
Debt	6,023
Net Debt	5,751
EV	**16,797**

	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
EV / EBITDA	6.2x	7.4x	8.7x	7.8x	7.6x	7.0x	6.5x
EV / EBIT	8.8x	10.7x	13.2x	11.4x	10.9x	9.8x	9.0x
P / E	8.6x	11.3x	14.5x	11.8x	10.8x	9.1x	7.8x
P / FCF	8.9x	11.5x	17.6x	18.0x	15.9x	14.2x	12.9x
FCF yield	11.3%	8.7%	5.7%	5.5%	6.3%	7.0%	7.8%

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Catalyst

unsolicited offer from Carlisle (rumored) or other players

Messages

No messages